YUVA INTERN | WEEKLY DELIVERABLE

M&A; Due Diligence and Risk Assessment Report

Hypothetical acquisition of an Indian private technology company

Prepared by: Liya Rose Siju
Institution: Colonel Central Academy
Programme: Yuva Intern — Legal Intern, Corporate Law Simulation
Jurisdiction: India
Status: Educational simulation; fictional facts clearly identified

Important: Fictional company details are not real audit findings. Verify current law, applicability and transaction facts before use or execution.

Executive Summary and Methodology

This report simulates a buy-side review for Meridian Technologies Private Limited considering acquisition of 75% of Aarohan Digital Solutions Private Limited, both fictional. No actual company records, public filings or news were reviewed for the hypothetical target. The report identifies risks to verify before signing or closing and recommends contractual and operational safeguards. A real review would examine incorporation documents, ownership, MCA filings, accounts, tax records, contracts, IP, employment, litigation, data security, permits and regulatory approvals.

Risk rating framework

High risks could prevent closing, materially reduce value or create significant liability. Medium risks may require remediation, contractual protection or price adjustment. Ratings are provisional and should be updated when evidence is obtained. Maintain an issue log showing source document, reviewer, severity, business impact, mitigation owner and closure evidence.

Risk 1 — Share title and corporate records (High)

Potential scenario: transfer history is incomplete or articles contain pre-emption rights that have not been followed. Impact: title uncertainty or delay. Verify share certificates, register of members, allotment/transfer records, articles, shareholder agreements and approvals. Make clear title and required waivers conditions precedent; obtain warranties and complete lawful transfer formalities.

Risk 2 — Filings and governance (High)

Potential scenario: annual returns, financial statements, minutes or statutory registers are incomplete or inconsistent. Impact: fees, penalties, inaccurate public records and uncertainty about authority. Reconcile MCA records with signed documents and accounts; inspect minutes and related-party approvals. Require a company-secretary review and lawful remediation of material omissions.

Risk 3 — Finance, tax and undisclosed liabilities (High)

Potential scenario: unrecorded debt, tax demands, guarantees, unpaid statutory dues or aggressive revenue recognition. Review audited accounts, bank statements, debt agreements, tax returns, notices, reconciliations and related-party ledgers. Mitigate with precise completion accounts or locked-box terms, tax warranties, specific indemnities and escrow for quantified exposures.

Risk 4 — Material contracts (Medium–High)

Potential scenario: a key customer or software provider may terminate or reprice on change of control. Review major customer/vendor contracts, renewal dates, assignment and change-of-control terms, exclusivity, service levels and liability caps. Obtain essential consents before closing and prepare a retention plan.

Risk 5 — Intellectual property (High)

Potential scenario: contractor-created code lacks signed IP assignments or third-party components have licence issues. Inventory trademarks, domains, code, licences, contractor agreements, assignments and open-source notices. Confirm chain of title, obtain missing assignments, remediate material licence issues and use targeted IP warranties.

Risk 6 — Employment and workplace (Medium)

Potential scenario: employment terms, confidentiality/IP clauses, statutory benefits or grievance procedures are incomplete. Review employment and consultant agreements, payroll, statutory contributions, disputes and workplace policies. Quantify liabilities, update documents and assess applicable POSH Act requirements.

Risk 7 — Data protection and cybersecurity (Medium–High)

Potential scenario: unclear data practices, excessive vendor access or incomplete incident records. Review data flows, purposes, access, retention, vendors, security controls and incidents; verify the Digital Personal Data Protection Act, 2023 and rules/commencement in force at the relevant date. Close critical access gaps and allocate pre/post-closing responsibilities.

Risk 8 — Litigation, permits and approvals (Medium–High)

Potential scenario: undisclosed litigation, expired permits or sector-specific approval requirements. Review notices, disputes, licences, regulated activities and competition/foreign investment triggers where applicable. Obtain disclosure and bring-down certificates, secure necessary consents and make required approvals conditions precedent.

Checklist, safeguards and conclusion

Checklist: corporate ownership and approvals; MCA filings and registers; accounts, debt, tax and statutory dues; material contracts; IP ownership and licences; employment and workplace matters; data security; permits, litigation and insurance. Convert material risks into conditions precedent, price adjustments, escrow, specific indemnities, warranties or post-closing actions. Do not close until decision-makers understand residual exposure. This is a fictional training exercise, not legal, tax or investment advice.

Legal References

Companies Act, 2013; Indian Contract Act, 1872; Arbitration and Conciliation Act, 1996; Competition Act, 2002, as amended; applicable tax laws; Digital Personal Data Protection Act, 2023 and current rules/commencement; POSH Act, 2013; and sector-specific rules if relevant. Official sources: https://www.indiacode.nic.in/ ; https://www.mca.gov.in/ ; https://www.cci.gov.in/ ; https://www.sebi.gov.in/ where relevant.